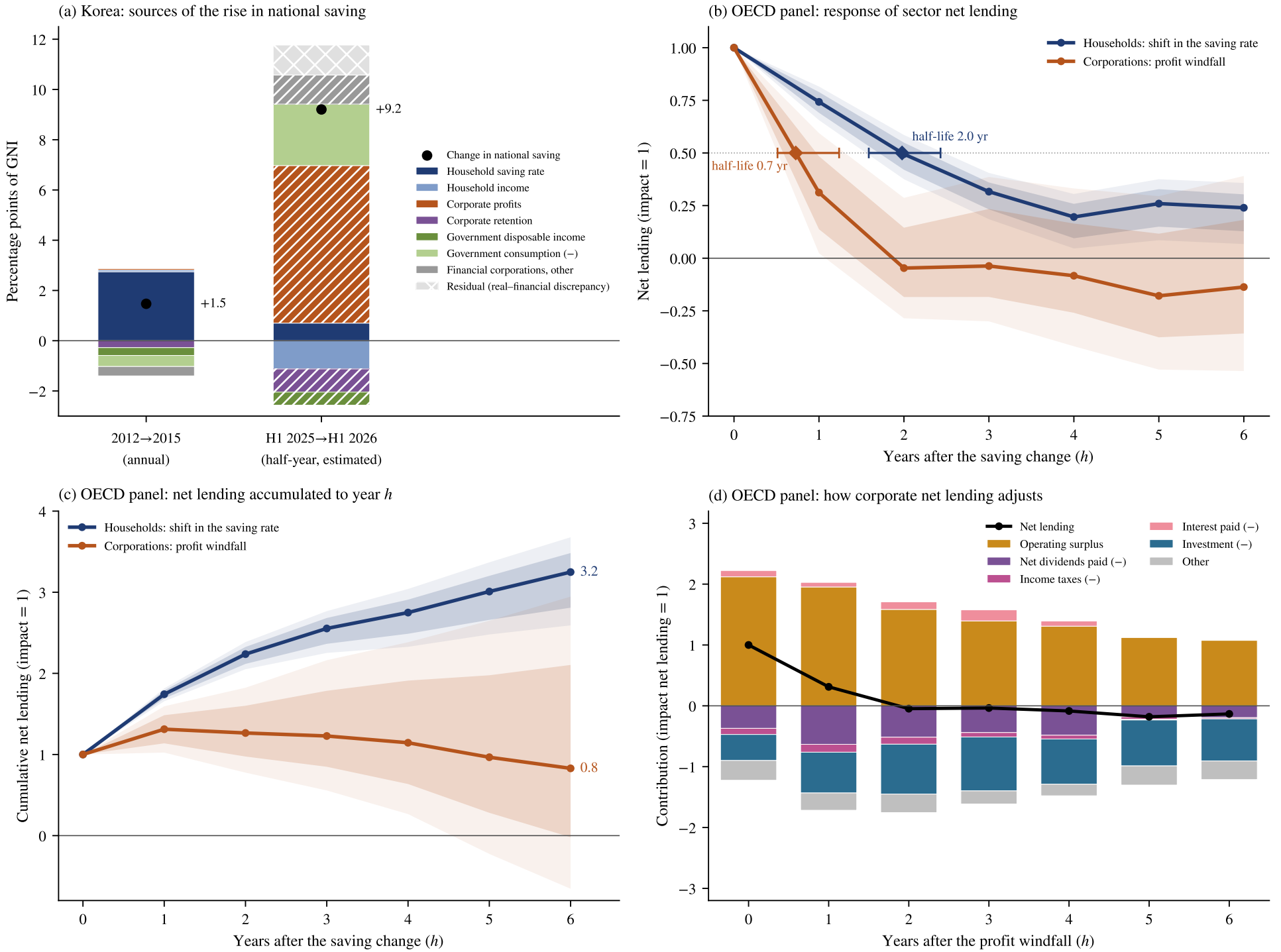
Korea's saving surge then and now, and what the panel says about persistence



Notes: (a) Gross saving, percent of GNI. Corporate saving splits into a profit component (change in operating surplus at the earlier retention ratio) and a retention component; household saving into a saving-rate and an income component; government saving into disposable income and minus final consumption. 2012→2015: OECD annual sector accounts, cumulated over the years. H1 2026: Bank of Korea quarterly accounts; hatched components are estimated (sector saving = investment + flow-of-funds net lending + the gap between the two accounts at its H1 2025 share of GNI; households: published saving); the unattributed widening of that gap is a residual. (b)–(d) Annual data for 38 economies, 1973–2025 (unbalanced). Local projections with lags of own net lending, both saving components, GDP growth and government net lending, and country and year fixed effects; normalized by the impact response. Bands: 68 and 90 percent, country-cluster bootstrap (999 replications). (b) Diamonds: half-life, the first year the response falls below one half (linear interpolation), with 90 percent intervals. (c) Sum of the responses from year 0 to year h: the net lending, and hence the current-account surplus, that a unit saving change generates over that span. (d) Cumulative changes in the items of the corporate account; outlays enter with a negative sign; 'Other' is the remainder. Sources: OECD; Bank of Korea; authors' calculations.